

Draft Red Herring Prospectus (Working Draft v0.7)

Office of the CFO and Company Secretary | March 2026 | Working Draft for SEBI

RESTRICTED — IPO Working Group Only

1. Company Overview and Offering Summary

TechNova Inc. is filing this Draft Red Herring Prospectus (DRHP) with the Securities and Exchange Board of India (SEBI) targeting a September 2026 filing window, with a proposed listing on BSE and NSE in Q3 FY2027-28. The proposed issue size is INR 2,000-2,500 crores comprising a fresh issue and an Offer for Sale (OFS) by existing shareholders. Pre-IPO valuation as estimated by the appointed Book Running Lead Managers, Kotak Mahindra Capital and Goldman Sachs (India) Securities, ranges from INR 8,500 crores to INR 10,000 crores, representing approximately 10-12 times trailing Annual Recurring Revenue.

TechNova operates the Nova Platform, a SaaS analytics and AI orchestration product serving 2,847 enterprise customers across 43 countries as of March 2026. The platform processes an average of 4.2 million API requests per hour with a contractual uptime SLA of 99.97%. Revenue for FY2025-26 was INR 847.3 crores (Q4 alone), an EBITDA margin of 23.0%, and free cash flow of INR 156.8 crores. The company has INR 892.4 crores of cash on its balance sheet and zero long-term debt.

The legal counsel for the offering is AZB & Partners (domestic) and Davis Polk & Wardwell LLP (international). The statutory auditor is Deloitte Haskins & Sells LLP. The Audit Committee Chair is Dr. Vikram Reddy, Independent Director.

2. Business Strategy and Growth Plan

TechNova's IPO readiness depends on three measurable milestones, each of which is tracked monthly by the Board IPO Committee constituted in January 2026.

The first milestone is enterprise customer count. The company targets 3,500 paying enterprise customers by the end of Q2 FY2027, against a current count of 2,847 — leaving a gap of 653 net new logos. The Customer Growth strategy concentrates on Tier-1 accounts in regulated APAC markets (India, Japan, South Korea), Europe, and North America, with FY2026-27 quota allocation of approximately 60% to net-new-logo plays and 40% to expansion within existing accounts.

The second milestone is Net Revenue Retention (NRR). SEBI counsel and BRLM diligence require NRR of at least 120% sustained for four consecutive quarters before DRHP. As of Q4 FY2025-26, NRR is 118.3%, which is below threshold; the four-quarter consecutive clock therefore has not yet started. Management's plan to close the gap relies on three vectors: (i) accelerating adoption of AI/ML features which carry premium pricing, (ii) expansion seats from existing Tier-1 customers in regulated industries, and (iii) reducing churn through the Customer Success transformation initiated in February 2026.

The third milestone is the security certification programme: SOC 2 Type II and ISO 27001 covering ALL product modules by December 2026. As of the date of this DRHP draft, SOC 2 Type II covers 70% of in-scope modules and ISO 27001 covers 55%. The remediation plan is detailed in the ISMS policy and is owned by the CISO, with approved capital expenditure of INR 8.5 crores following the November 2025 cybersecurity incident (INC-2025-0847).

3. Management Discussion and Analysis

For FY2025-26, the company recorded Q4 revenue of INR 847.3 crores, exceeding the Board-approved budget of INR 813 crores by 4.2%. Subscription revenue contributed 78%, professional services 14%, and licensing/other 8%. Geographic revenue split: APAC 41%, North America 33%, Europe 19%, MEA 7%.

EBITDA margin of 23.0% materially exceeded the target of 21.5%, driven by continued operating leverage on the cloud cost line and salary discipline (variable pay was funded at 1.15x of target reflecting 108% achievement of company performance against revenue plan). Management notes that the Engineering department utilised 94.7% of its INR 210 crore Q4 budget; the primary overspend driver was cloud infrastructure (+INR 12.3 crores over budget), partially offset by underspend in contractor hiring.

The principal one-time items affecting comparability are: (i) the Audit Committee observation on the capitalisation treatment of INR 14.2 crores in AI model development costs (currently being discussed with Deloitte; if expensed, it would reduce reported PAT by approximately INR 10.3 crores after tax); (ii) the Board-approved INR 8.5 crore additional cybersecurity spend following INC-2025-0847; and (iii) approval of INR 120 crore CapEx for the Singapore data centre expansion to support APAC localisation requirements.

Free cash flow conversion was 88% of EBITDA. Cash on balance sheet at quarter-end was INR 892.4 crores with zero long-term debt. The company maintains a INR 200 crore committed unfunded credit facility from HDFC Bank for working-capital flexibility. Days Sales Outstanding (DSO) declined from 67 days at the start of FY2025-26 to 58 days at the end, reflecting improved collections discipline and a shift toward annual upfront billing.

4. Risk Factors

Management identifies the following risk categories as material to investors. This is not an exhaustive list and additional risks may emerge.

Customer concentration. The top 10 customers contributed approximately 38% of FY2025-26 revenue. The largest single customer represented 6.2% of revenue. Loss of any of the top 10 customers could materially adversely affect financial performance.

Cybersecurity and data integrity. The November 2025 incident INC-2025-0847 affected 847 customer accounts and required CERT-In notification within 6 hours. The company has since accelerated Zero Trust deployment from March 2026 to February 2026 and approved INR 8.5 crore additional spend, but a repeat incident — particularly on a critical AI service — could damage customer trust, breach

SLAs, and slip the SOC 2 / ISO 27001 timeline. The cyber insurance policy with ICICI Lombard provides INR 50 crore coverage at an annual premium of INR 28 lakhs.

Geopolitical and regulatory. Vietnam and Indonesia have introduced data-localisation requirements that may compel in-country deployment. The platform currently operates from AWS primary and GCP disaster recovery, with database read-replicas in US-East, EU-West, and AP-South — but not yet in-country in Vietnam or Indonesia. The legal team is preparing a compliance roadmap. Failure to meet localisation may force customer offboarding in those markets.

Concentration of AI infrastructure. The AI/ML production stack runs on a single dedicated EKS cluster with 16 NVIDIA A100 GPU nodes (128 GPUs total). There is no regional redundancy for AI workloads. A single incident on this cluster could affect all AI features simultaneously.

Talent retention and key-person risk. ESOPs are granted only at L5 and above (FMV INR 842 per share). Retention bonuses are policy-capped at 30% of CTC for critical talent (40% for counter-offers). The Chief Revenue Officer position is identified by HR as a single-point-of-failure with no vested ready successor below L5.

5. Capital Structure and ESOP Schedule

The current share capital comprises 100% equity shares with no preference shares outstanding. The fully diluted share count includes the existing ESOP pool of 8.2% of fully diluted equity, plus the additional 2% pool approved by the Board on January 22, 2026 for pre-IPO senior talent retention. The 409A valuation conducted by an independent third party in December 2025 set the FMV at INR 842 per share.

ESOP grants vest over a four-year schedule with a one-year cliff: 25% of granted units vest at the end of Year 1, with the remaining 75% vesting monthly over the subsequent 36 months. ESOPs are granted only to employees at Level 5 (Senior Manager / Architect) and above. The policy specifies that the IPO listing event will create the first liquidity event for ESOP holders; pre-IPO buybacks have not been contemplated by the Board.

CEO compensation for FY2025-26: Base INR 72 lakhs + Variable INR 48 lakhs + ESOPs valued at INR 2.4 crores (vesting over 4 years) + Benefits INR 8.5 lakhs = approximately INR 1.52 crores total CTC excluding ESOP valuation gains. CTO compensation: Base INR 65 lakhs + Variable INR 39 lakhs + ESOPs INR 1.8 crores + Benefits INR 8.5 lakhs = approximately INR 1.20 crores. The CEO-to-median-employee pay ratio is 18.4:1, below the Indian IT industry average of 24:1. The Compensation Committee reviews executive pay annually against a peer group of 12 companies.

6. Use of Proceeds

Net proceeds from the fresh issue of approximately INR 1,400-1,750 crores (after deducting offer expenses) are intended to be deployed across four strategic categories.

First, AI/ML capacity expansion (approximately 40-45% of net proceeds). This includes a planned acquisition of an additional 32 NVIDIA H100 GPU nodes for the production AI cluster, multi-region failover architecture for AI inference (Tokyo and Frankfurt regions), and the self-hosted RAG stack on

4x A100 nodes with customer-specific Qdrant indices as outlined in the FY26-27 product roadmap.

Second, geographic expansion and data-residency compliance (approximately 25-30%). The Singapore data centre expansion (INR 120 crore CapEx already approved) is the lead initiative. Additional in-region deployments in Vietnam and Indonesia are planned to address localisation requirements.

Third, sales and marketing spend (approximately 15-20%) to close the 653-customer gap to the IPO milestone of 3,500 paying enterprise customers, including expansion of the inbound demand-generation engine and partner-channel investments in Southeast Asia and Latin America.

Fourth, general corporate purposes and strategic acquisitions (approximately 10-15%), including potential bolt-on acquisitions in adjacent verticals such as data-labelling, MLOps tooling, and vertical industry connectors. No specific acquisition target is identified or under negotiation as of the date of this DRHP draft.

7. Material Litigation and Contingent Liabilities

As of March 31, 2026 the company has the following material disclosures.

Tax matters. The company is in dispute with the Income Tax Department on transfer pricing for FY2021-22 and FY2022-23, with disputed tax demand of INR 14.6 crores plus interest. Management, supported by Khaitan & Co counsel, believes the position is well-supported by independent transfer-pricing documentation and the demand will be vacated on appeal. No provision is recorded; this is disclosed as a contingent liability.

Employment matters. One former L7 employee filed a wrongful-termination suit in the Bangalore Employment Tribunal in October 2024, claiming arrears of INR 0.85 crores. The matter is in arbitration and is not material individually.

Contractual matters. The Suspended-status vendor VendorConnect Solutions has indicated it may dispute the security-related termination clause invoked after INC-2025-0847; the contract value at risk is approximately USD 180,000 annually. Khaitan & Co considers the company's position defensible.

There are no other material litigation, regulatory enforcement actions, or governmental investigations pending against the company or its directors as of the date of this DRHP draft.